

Fragmentation and Arbitrage of Corporate Governance in Emerging Economies - A Case Study

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The joint stock company has been at the heart of most large and successful modern capital driven enterprises across the globe for over 400 years ever since the Dutch set up the first one in 1602. The concept of incorporation with limited liability - limiting its shareholders risk of loss to only the amount of capital contributed, while promising returns in proportion to their ownership of the enterprise - has enabled raising of large amounts of capital from a widely held and diverse base of investors. It has also facilitated trading of shares between shareholders and the development of capital markets as a source of funds for companies and liquidity for investors.¹

²The nature of the incorporated form and the distinction between its shareholders and its management has however given rise to the question of agency - issues that arise from the responsibility of the conduct of the day to day business of the organisation by those other than its owners and the potential conflicts of interest it represented.

The challenge of alignment of interests of shareholders, management and directors, and the adequate incentivisation and supervision of management to act in the best interests of owners and other stakeholders, has been the primary subject of the theory and practice of corporate governance and its constituent processes, procedures, checks, balances and ethics.

¹ Talbot, L. (2016). Critical Company Law. London: Routledge, <https://doi.org/10.4324/9781315737690>

² Emmanouel/Marios/Lazaros & Kyriazis, Nicholas, 2019. "The emergence of the joint-stock companies in the Dutch Republic and their democratic elements in business," MPRA Paper 91447, University Library of Munich, Germany.

This paper seeks to examine the role and manner in which powers of shareholders and board of directors, and market based regulatory mechanisms of corporate governance, are fragmented and subverted to accrue unaccountable managerial power in transitioning command structure emerging economies through the case study of the Infrastructure Leasing and Financial Services Limited.

Background:

The institutional framework of governance of incorporated firms has evolved differently in the varied ecosystems of nations, as their economies have developed, based primarily on their legal framework of business and regulation, economic history, and cultural aspects.³

Corporate governance issues are however of particular concern in emerging economies as they have limited institutional infrastructure and a yet evolving multidisciplinary ecosystem to deal with its challenges. Governance problems in developed economies are centred around widely held ownership, issues of agency of management, predominantly standalone companies, and market-based transactions. Emerging economies in contrast, are characterized by concentrated - often promoter or family controlled - ownership, pyramidal ownership structures, dominance of business conglomerates, and high levels of related-party transactions.

³ Zimmerli, Holzinger, Richter (2007). Corporate Ethics and Corporate Governance. Berlin: Springer

Typically, governance solutions constitute an optimal mix of internal and external mechanisms (e.g., Walsh & Seward, 1990) with the weights differing between developed and emerging economies. Whereas “bundles” of governance mechanisms in developed economies rely more on board monitoring, executive compensation and the market for corporate control, in the relationship-based systems in emerging economies, a greater emphasis is placed on the governance role of lending institutions, large blockholders including family shareholders, and organizational governance hierarchies.⁴

In an emerging economy environment with weak legal and regulatory systems and a poor governance role of lending institutions, it is mostly the controlling shareholder who has been not only in possession of the agency of management but also of organisational governance hierarchies of the company, resulting in conflation of majority interest and dominance. Attempts to develop and evolve shareholder centric, board and market based governance mechanisms of developed economies have met with limited success.

The challenge of corporate governance and agency has however been the highest in professional - with no family or multinational controlling shareholder - firms in India, that have seen significant lapses of corporate governance in recent times. The Indian institutional system follows Anglo Saxon law. Yet, for most of its independent economic history, it has followed the

⁴ Armitage et al., “Corporate Governance Challenges in Emerging Economies,” accessed August 1, 2020, <https://booksc.xyz/book/65041546/2d57d3>.

Continental model of bank led and government controlled financing for its corporate sector, including its governance, as an outcome of socialist economic policies.

The command economy structure and the nationalisation of banks saw significant corporate control allocated to bank and government controlled governance mechanisms. This came in the form of loan covenants, nominations of directors to company boards, and affirmative rights.

Raising of equity capital and its pricing by companies too was controlled, with government approval required for approaching public equity markets. Share markets as a consequence remained protected, underdeveloped and shallow as sources of public financing. Restrictions on raising public equity funds also resulted in inadvertently encouraging significant malpractices in promoter/controlling shareholder driven companies; with the raising of equity resources and related party transactions/fungibility of company and personal funds. Weak institutional, regulatory and corporate governance structures were unable to prevent such widespread malpractices.

The distortion and subversion of the limited liability corporate form of business organisation- taking advantage of its risk-return asymmetry- by promoter/controlling shareholder interests for expropriating public monies of debt and equity in India is well documented.

It was with the liberalisation of the early 1990s, when it became easier for companies to raise equity from public markets and with the setting up of an independent capital market

regulatory architecture led by the Securities and Exchange Board of India (SEBI), that a credible effort was made to develop a shareholder and market led corporate governance structure in India.

There was a distinct effort of government policy in the early years of liberalisation to encourage professional management led organisations with a wide, non-controlling shareholder base as an alternative to predominant family owned or multinational conglomerates.

The efforts notably included - as in the case of new generation private sector banks - of giving licences to professional led and non-affiliated entities, and in the case of others; using existing public or public-private institutions to promote and sponsor new initiatives with professional management and minority public sector shareholding.

In the first category were banks like Global Trust Bank, Bank of Punjab, Centurion Bank and Yes Bank. In the second were companies like CRISIL, ICRA, NSE, Axis Bank, and IL&FS. While there have been some notable successes like NSE and Axis Bank, there have also been significant setbacks to the professional led model, primarily relating to matters of agency and the failure of checks and balances of corporate governance, resulting in repeated market failures.

None has been bigger than Infrastructure Leasing and Financial Services Limited (IL&FS), the infrastructure to financial services behemoth that collapsed in September 2018 and defaulted on its loan obligations in among the largest bankruptcies in the country, sending shockwaves through the economy and financial system and triggered the economic slowdown that is still being grappled with.⁵

⁵ ET Online, “IL&FS: The Crisis That Has India in Panic Mode: What Is Infrastructure Leasing & Finance Services?,” The Economic Times (Economic Times, October 3, 2018),

While there are multiple causes for its failure, including a flawed business model, excess leverage, changing business environment et al, a fundamental question that has repeatedly been asked is how did IL&FS grow to the scale, size and risk that it did, why did the checks and balances of market based corporate governance - directors, shareholders, auditors, rating agencies, regulators - not work to address the critical functions of risk and control, and fail to rein in a wilful management and address inherent issues of conflicted-for-interest agency?

The following section examines the argument that the “systemic failure” that occurred was not a failure of the “system” but a design deficiency undertaken consciously, in a fragmentation strategy, to distribute power – of shareholdings, boards, subsidiaries, balance sheets, lenders, regulators - such that no single stakeholder had enough to take ownership or responsibility, or build the necessary view or perspective, for oversight of the management’s actions.

IL&FS Case Study:

Infrastructure Leasing and Financial Services Limited, was set up in 1987 as a Non- Bank Finance Company with nominal capital and seed equity investment by HDFC, Central Bank of

India and Unit Trust of India. Incorporated as a private sector company with minority shareholding of public sector banks and institutions, it was mandated to catalyse the development of infrastructure and a supporting market based framework of financing and fundraising for the sector.⁶

Outside the public sector framework of rule driven processes of administrative directive, vigilance and legislative review, it was to be managed by professional managers and oversighted by a Board of Directors duly elected by its shareholders in a market driven framework of corporate governance.

A professional manager, Ravi Parthasarathy - an IIM Ahmedabad alumni, ex Citibanker and former co-promoter of the Twentieth Century Finance Corporation - was selected as the Chief Executive Officer of this fledgling company. The Chairman of the IL&FS board was a non-executive and non full time role and appointed from among the director nominees of its sponsoring shareholders, with the objective to provide strategic guidance and support including within policy making corridors of government, while its other directors were nominees from among the senior leadership of its shareholder institutions.

While there was significant turnover of non-executive Chairman for various reasons over the period 1987 to 2004, Ravi Parthasarathy was inducted on the Board as Managing Director in 1989, raised to Vice Chairman and Managing Director in 1994 and finally taking over as Chairman of the Board of Directors of IL&FS in 2004 after serving as President and CEO since

⁶ Ibid.

1987; a position he held till he stepped down in July 2018, after having helmed the group for over 30 years since its inception.

The concentration of the power of corporate governance and subversion of its checks and balances over this period were facilitated by a gradual erosion of both its constituents and its structure.

a) Constituents :

i) The Shareholders :

The shareholding of the incorporated-in-the-private-sector-with-public sector-sponsorship company was fragmented, with no single controlling shareholder. While its initial shareholding underwent changes in the 1990s, seeing the Life Insurance Corporation of India, State Bank of India, Orix Corporation, Japan and Abu Dhabi Investment Authority come on board, even as the Unit Trust of India diluted its shareholding, no individual shareholder owned more than 26 percent of the company.

In the year it collapsed, IL&FS (as on March 31, 2018) had seven large institutional shareholders owning most of its small paid up equity share capital of Rs.1.3 bn, while its

reported networth was Rs.60 bn (mostly share premium and accrued earnings) on the basis of which it had raised Rs.910 bn in borrowings. A debt: equity ratio in excess of 15:1.⁷

Life Insurance Corporation of India was the largest, owning 25.34 percent, followed by Orix, Japan, holding 23.54 percent, Abu Dhabi Investment Authority holding 12.56 percent, IL&FS Employees Welfare Trust holding 12 percent, HDFC holding 9.02 percent, Central Bank of India owning 7.67 percent and State Bank of India holding 6.42 percent. Nearly 40 percent of its equity capital was owned by public sector institutions, with private and overseas investors holding about another 45 percent.

In the case of its public sector shareholders, the equity stakes held individually by them - about Rs.15 bn for LIC, about Rs.4.5 bn for Central Bank of India and about Rs.4 bn for State Bank of India- as a percentage of shareholder owned funds in IL&FS as in 2018 (their cost of acquisition/subscription being even significantly lesser) was of little significance to the overall size of the balance sheets of these institutions. It was a shareholding - of both amount and percentage - not significant enough to warrant a higher level of representation and monitoring either on the Board of IL&FS or bandwidth of institutional management time.⁸

⁷ “Equity Shareholding Pattern as on March 31st 2018”. Infrastructure Leasing & Financial Services Limited. Accessed August 1, 2020. <http://www.ilfsindia.com/>.

⁸ Ibid.

Overseas investors held minor equity stakes in the Company, fractional as a percentage of their global investments, and who saw this as a toe-in-the-door partnership investment for an India infrastructure strategy and the potential opportunities it could generate.

This “bits and pieces” fragmented shareholding strategy, while keeping the invested equity capital base small, helped management keep the group under the radar and largely unmonitored by shareholders with nominal stakes than it would have been if they had a significant promoter or controlling shareholder stake.

ii) The Board :

The composition of the IL&FS board, in its early years reflected its public-character-with-a private-constitution role for the evangelisation of infrastructure policy and projects. It had initially had a high-powered Board of Directors, led by heads of banks and institutions and senior retired bureaucrats. This helped secure and navigate its initial infrastructure projects and troubles - like NOIDA Toll bridge and Tirupur water projects - under the public private partnership format of bilaterally negotiated projects with government authorities and secure bank financing.

The Board served its purpose well then, assisting in providing the bridge between government perspective and institutional finance in a policy driven initiative in the fledgling years of liberalisation. Yet over the years, even as the nature and complexity of the company

changed and grew and the markets of competitive bidding emerged in 2003/4, board composition and oversight did not keep up with these changing trends. It continued in the pattern of the old command economy of crony networks of relationships and patronage, having established a comfortable equation with significant abdication of power ceded to the now long serving Chairman and Managing Director Parthasarathy.

The IL&FS Board of Directors in April 2018 comprised shareholder directors - nominees of the public sector Life Insurance Corporation, State Bank of India and Central Bank of India, and those of the private sector Orix, Japan and Abu Dhabi Investment Authority; 5 independent directors; and 3 executive directors including the Chairman.

By the time of the collapse in September 2018, one independent director, a former senior bureaucrat turned industry professional, had been on the board since 1990 for nearly 28 years, Another, a retired senior bureaucrat, had been independent director since 2004 for nearly 14 years. A former Life Insurance Corporation Chairman had served as an independent director since 2005 for about 13 years and another, a former banker, since 2012 for about 6 years.⁹

For public sector institution shareholders, it is telling that for most of the existence of IL&FS since its inception in 1987, there was no head of a public institution shareholder represented on its Board after its initial years. All were represented by the second in command,

⁹ “Annual Report 2018”, “Annual Report 2019”. Infrastructure Leasing & Financial Services Limited. Accessed August 1, 2020. <http://www.ilfsindia.com/>.

in some by the third, and in another, by none at all. Overseas investors were represented on the Board by mostly mid rung employees as a proxy for a relationship driven by their senior management.

The timidity of the public sector shareholders, never the most proactive in the best of times, could also have been contributed to by the high powered board and relationships that IL&FS enjoyed with the administrative establishment in its foundational years.

In the highly hierarchical set up of the command economy of a developing economy, upper echelons of the bureaucracy enjoyed apex position not only with regard to formulating public policy, but also control of public sector institutions. This control not only meant representation on their boards, but also in making recommendations for and processing the appointments of their senior management.

While nationalisation of banks and insurance companies effectively created a risk averse bureaucracy functioning more as an extension of a government administrative department than as a commercial organisation, it made the senior management of these institutions extremely sensitive to views of senior bureaucrats. IL&FS enjoyed particularly good relationships with the official establishment, having senior retired bureaucrats on its board or in employment or serving administrative service officers on deputation and cultivated contacts across ministries of the government. The management group of these public sector institutions were always sensitive to this aspect of this ‘unofficially official’ power of relationships.

So why did this massive failure of corporate governance by directors at the board level happen? The passivity of public sector institutions, more so for those dealing in equity investments, has been a perennially recurring feature of the Indian economy. The long tenure of management leadership builds an entrenchment of power and interests, particularly in so called ‘professionally managed’ companies. In a developing economy where institutional, market and regulatory governance structures are weak, these are difficult to check or dislodge. As with other forms of organisation, corporate power has a natural tendency to get entrenched, even as it then feeds and propagates itself.

With other powerful executive organisations, like the Government or the public sector, this is kept in check by a defined retirement age, a policy of rotation of jobs, and a strong line of cross functional succession. In promoter run companies, this question does not arise as often, as unfortunately promoter interests are also usually majority equity shareholders and therefore in perpetual management.

In most ‘professionally run’ companies with long serving leaders and no identified promoter group of shareholders - and more particularly significant and passive public sector institutional shareholding - the succession plan ends up being controlled by the leaders themselves, often pushing out those who may challenge their unquestioned control. The selection of Directors in these companies too is often dependent on the leader’s choice, to be recommended for appointment at the Annual General Meeting of shareholders.

Independent directors selected in this manner then show little desire to act as checks and balances to management board members, easily and comfortably mollified by the perks and respect the position brings to often retired personages, and secure in being part of privileged coteries of crony patronage and networks.

Nominee directors of public sector financial institutions and banks having shareholding in the Company too are wary of the reach of the leader to his or her political or bureaucratic bosses, waiting for 'government' directions or instructions, not wanting to ask uncomfortable questions, and happy to be part of a charmed circle and patronage that might help further their careers. In some instances, nominee Directors of these institutions continue as independent Directors on these companies even after retirement, a sinecure of a comfortable relationship - and equation - established with the management.

In certain instances, in deference to growing age or statutory requirements, the leader may agree to relinquish an executive role and accept the role of Non- Executive Chairman. Yet, much as bull elephants in the boardroom, they continue to dominate discussion and decision making at the Company. While quality leadership is a challenge to identify and groom, such a long uninterrupted tenure for leaders has its own challenges, entrenching individual driven strategy and decision making while establishing a hegemony and an unquestioning and stunting obedience not only in the organisation but also in the Board and other stakeholders tasked with keeping checks and balances on management.

This poses an ongoing challenge even as policy on governance in the country has shifted decisively in favour of a market driven Anglo - Saxon architecture of shareholder elected Boards being primary drivers of corporate direction and decision making, responsible to its stakeholders, and overseeing the operations of the company through independent risk control mechanisms.

b) The Structure :

In the initial years of IL&FS, subsidiarisation of operations was limited to only its specific infrastructure projects. Domiciled in special purpose vehicle companies (SPVs), it enabled each project to be clearly delineated, developed, funded, implemented and operated. It also enabled equity venture capital funding of these projects and SPVs by IL&FS which, post development, would be posed for equity and debt financing. Other activities, including financial services, continued to be in IL&FS as departments and divisions. All approvals for projects, reporting and monitoring was to a single IL&FS board, besides the project SPV boards for their individual project operations. This model of growth was modified to a conglomerate structure in 2002 to enable a widespread subsidiarisation of various business verticals with IL&FS limited to being a holding company.

Ostensibly to bring greater accountability, profitability and sustainability responsibilities, it however fragmented the corporate governance structure, along with balance sheets at a business 'platform' level. With each business vertical also a holding company in its own right with its own set of directors and its clutch of businesses/projects, the scope for a governance

arbitrage between boards for approval grew as the group became larger and more complex. This fragmentation of governance power also enabled the delegation of authority to Executive Committees of the boards, comprising management.

The boards of subsidiary business vertical ‘platform’ companies - including the listed road transportation subsidiary and the unlisted financial services arm - were similarly packed with retired bureaucrats and bankers as independent and operating as purportedly independent decision making forums with commonality of IL&FS management as linkage. This facilitated ‘forum shopping’ of approval and diluted corporate governance, risk and audit functions across the Group’s astonishing over 340 subsidiary and project companies. This fragmentation of corporate power and balance sheets in a pyramidal holding structure also enabled the highest “AAA” credit rating by rating agencies for the smaller holding company IL&FS based on its limited operations. A highest credit rating of the holding company which was then utilised to enhance the credit perception of its larger subsidiaries where the primary credit risks lay - on the basis of this perceived “parent company support”. It was this fragmentation of risk that facilitated borrowings beyond prudential limits that if it had been a single entity. The fragmentation of business entities also enabled a regulatory arbitrage between the regulator of its financial services business and its borrowings from the banking system, the Reserve Bank of India; and the capital markets regulator for its credit rating agencies and capital market borrowings, SEBI. Even as the conglomerate faltered, with bank lending reaching maximum permissible limits or slowing down and coming on the RBI watch list with critical observations,

it was able to continue raising significant additional borrowings from the capital markets in various group companies on the basis of the “AAA” credit rating parentage of IL&FS.

Such funds raised were further channelised to companies as per their requirements through intra group transfers, an aspect not highlighted in audit at either individual company or consolidated level reportedly on account of the fragmentation of the audit function across the multiple companies with a multiplicity of auditors.

The migration of the group to the holding company structure too aided perception of the shareholders and directors of IL&FS, who likely saw themselves invested primarily in the balance sheet of the parent company, with not as much visibility or oversight of risk and control that the sprawling conglomerate of subsidiaries and projects and the leverage that investments sourced from the parent company spawned.

The most significant fragmentation however lay in the arbitrage of perception of its control. To the market and market facing stakeholders including bank lenders and mutual fund investors, it was a semi-government entity of quasi-sovereign risk on the basis of its historical public sector sponsorship and continued shareholding by these institutions and director representation. To the government and the public sector shareholders it was a market facing entity with majority private sector ownership, with professional management and an independent board, with their risk limited to the nominal equity capital they had subscribed to.

This duality and ambiguity of control, and distortion of the risk-return tradeoff of market equilibrium as a privately incorporated entity or government sponsored control resulted in the

fragmentation of private sector corporate governance. Through the case of the collapse of IL&FS, the challenges of a formerly command structure emerging economy seeking to transit to market based governance structures for companies, are brought to light.

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